

NATIONAL EDUCATIONAL ASSESSMENT AND EXAMINATIONS
AGENCY (NEAEA)
NATIONAL EXIT EXAM FOR LL.B PROGRAMME
STUDENTS OF ETHIOPIAN LAW SCHOOLS
2020/2021 ACADEMIC YEAR

AUGUST 03, 2021
TIME ALLOWED: 3 Hours

PART I: PRIVATE LAWS

INSTRUCTIONS:

1. THIS EXAM HAS FIVE SECTIONS: ATTEMPT EACH SECTION ON THE BASIS OF SPECIFIC INSTRUCTIONS INDICATED IN EACH SECTION.
2. TIME ALLOWED: 3 HOURS.
3. THIS IS A CLOSED BOOK EXAM EXCEPT PERTINENT ETHIOPIAN LAWS.
4. BUTTRESS YOUR ARGUMENTS WITH PERTINENT LEGAL PROVISIONS WHENEVER APPROPRIATE.
5. PUT YOUR ANSWERS IN A SEPARATE ANSWER SHEET ATTACHED TO THE EXAM.
6. YOU MAY ASSUME FACTS WHERE NECESSARY.
7. WRITE LEGIBLY.
8. SWITCH OFF YOUR MOBILE PHONE.

DO NOT TURN THIS PAGE UNTIL YOU ARE ALLOWED TO DO SO.

SECTION I: MULTIPLE CHOICE ITEMS (30MARKS)

CHOOSE THE BEST ANSWER FOR EACH QUESTION FROM THE ALTERNATIVES GIVEN.

1. Which of the following statements is **WRONG**?
 - A. A creditor is bound to receive part payment of fungible goods.
 - B. Provisions of Contracts in General (Art 1675-2026) could possibly govern personal effects of marriage.
 - C. If a midwife claims payment for professional services after two years of the debt's due date, it suffices for the claimant to prove that the obligation was created.
 - D. When obligation is assigned, the law presumes that the original debtor changes his position from principal debtor to secondary debtor and obligation of those who were secondary debtors would be extinguished.
 - E. Default notice is a precondition to invoke non-performance of a contract.

2. One of the following is different from the others.
 - A. Partnership
 - B. Tax
 - C. Marriage
 - D. Will
 - E. Filiation

3. Identify the **WRONG** statement.
 - A. Reserves and restrictions intended by one party but not known by the other party may be binding if such reserves and restrictions are incidental effects as are attached to the obligations concerned by custom.
 - B. Signature under Ethiopian Contracts Law is defined as either as a handwriting or a stamp or both.
 - C. A court may invoke family relation as a justification to modify a contract.
 - D. A commercial contract may be affected by defect in consent if one of the parties lies to the other and such lie relates to the nature of the obligation which is decisive.
 - E. When a debtor is adjudged bankrupt, his debt becomes due immediately regardless of contractually agreed time of performance.

4. Socialist Model of Contract Law champions all **but one**
- A. labor right protection.
 - B. consumer right protection.
 - C. freedom of contract.
 - D. written form as a validity requirement.
 - E. legally binding standard contract terms.
5. The FDRE Constitution gives constitutional recognition to contract by recognizing
- A. private property and economic rights.
 - B. public ownership of land.
 - C. democratic rights.
 - D. sovereignty of the people.
 - E. parliamentary form of government.
6. Based on the principle of independence of the judiciary recognized under Art 78 of the FDRE Constitution, which of the following doctrine/theory authorizes the court to interpret contract?
- A. Privity Doctrine
 - B. Sanctity Doctrine
 - C. Freedom of Contract Doctrine
 - D. Consent theory
 - E. Bargain theory
7. Which one of the following is true about offer?
- A. Ethiopian Law of Contract generally disregards freedom of form of offer.
 - B. A declaration of intention to buy things by auction is an offer.
 - C. An offer may never contain general terms of business.
 - D. An offer without time limit for acceptance would favor an offeror than an offeree.
 - E. The binding effect of offer expires if the offeror dies.

8. Which of the following is a rebuttable indication of performance of contract?
- A. Entries made by a creditor at the back of document of title.
 - B. Handing over of document of title.
 - C. Receipt for the principal debt.
 - D. Expiry of six months after due date.
 - E. Unqualified entries in trade books against those who made the entries.
9. A court need **NOT** take into account one of the following while interpreting a contract
- A. freedom of Contract.
 - B. trust as a foundation of contract.
 - C. the context and the situation in which the contract was made.
 - D. economic benefits that both parties expect.
 - E. the nationality of the parties to the contract.
10. Contractual performance is possible through a delegate where it relates to
- A. an obligation to provide a legal consultancy service.
 - B. an obligation to deliver a fungible thing.
 - C. an obligation to make a painting.
 - D. an obligation to provide a medical service.
 - E. an obligation to weave 'Habesha Kemis'.
11. Which of the following is **FALSE** about performance of a contract?
- A. When two or more persons hold themselves out to be creditors for a certain debt, a debtor may refuse to pay any of them without risking himself against consequences of non-performance unless the case is pending in court.
 - B. The Ethiopian Contract Law authorizes parties to use gold as a medium of exchange.
 - C. A seller may unilaterally make slight modification to the contract terms that provides about quality or quantity of fungible things to be delivered to the buyer.
 - D. In principle, payment made to incapable persons amounts to non-performance.
 - E. There is situation where payment to unauthorized agent validly releases the debtor from his obligation.

12. Which one of the following is a correct combination about contract law model?
- A. Consent Theory- cumulative of economic law and objective intention
 - B. Bargain Theory- substantive fairness
 - C. Efficiency Theory- Consideration
 - D. Will Theory – subjective expectation of a creditor
 - E. Reliance Theory- aggregate utility
13. Which one of the following is true about default notice?
- A. It should always be in writing.
 - B. It may contain grace period.
 - C. It is unnecessary to claim damage.
 - D. It is unnecessary in obligation not to do.
 - E. It is given by a debtor to his creditor.
14. Identify the **INCORRECT** statement among the following
- A. Some contracts that relate to immovable property may be made orally.
 - B. Even in case where written form is not mandatory, contract made in writing need to be attested by witnesses.
 - C. The effects of presumption of payment of certain debts after certain periods and the effects of period of limitation of action are usually the same regardless of less significant procedural differences.
 - D. Provisions of the Civil Code of Ethiopia dealing with effects of contract are generally complementary provisions that are applicable in the absence contractual terms.
 - E. In a contract of stipulation for the benefit of third parties, the contract is completed when an identified beneficiary accepts the benefit.
15. A surety-ship certifier is
- A. a person who guarantees the effectiveness of the indemnity claim of a guarantor.
 - B. a person demanding assurance by the debtor.
 - C. secondary guarantor.
 - D. joint creditor.
 - E. joint debtor.

16. Under the Commercial Code, transfer of shares from members to outsiders in private limited companies is
- A. prohibited by law.
 - B. subject to approval by unanimous consent of shareholders.
 - C. subject to approval by simple majority vote of shareholders.
 - D. made in writing, lest it shall be void.
 - E. not regulated.
17. Which of the following organs helps in managing the agency problem between the board of directors and the general meeting of shareholders?
- A. The general manager
 - B. The Auditors
 - C. The board secretary
 - D. The board chairperson
 - E. The government
18. Founders in share companies **CANNOT** be entitled to
- A. reimbursement of their expenses made during company formation.
 - B. payment of compensation for their services during company formation.
 - C. payment of salary for the duration of company formation.
 - D. dividends in respect to the shares they own in the company.
 - E. board member fee even if they serve in the board of directors.
19. One of the following is true about the liability of board of directors?
- A. Directors have no liability to creditors of the company; only the company is liable.
 - B. Directors can be liable to individual shareholders.
 - C. Only the company can enforce director liability after resolution of the general meeting.
 - D. Each director has proportional individual liability to creditors or company.
 - E. Directors can have no liability to shareholders of the company.
20. A general partnership under Ethiopian law is **NOT**
- A. a separate legal person from its members.
 - B. a commercial business organization.
 - C. jointly and severally liable with its members for partnership debts.
 - D. a personal association of persons.
 - E. established by a memorandum of association.

21. Which of the following reasons **CANNOT** result in dissolution of a private limited company?
- A. The death of a shareholder
 - B. The decision of the government
 - C. Expiry of the term for which the company was established
 - D. Serious disagreement between the shareholders
 - E. Loss of its entire capital
22. Which of the following laws applies on traders only?
- A. Commercial Registration and Business Licensing Proclamation
 - B. The Commercial Code of Ethiopia
 - C. The Civil Code of the Ethiopia
 - D. The Banking Business Proclamation No. 592/2008
 - E. Trade Competition and Consumer Protection Proclamation
23. In which of the following relationships the obligation to pay maintenance is **NOT** created pursuant to the Revised Family Code?
- A. Between spouses
 - B. To ascendants
 - C. To descendants
 - D. Between siblings
 - E. To uncles and aunts
24. Which of the following best expresses the rationale behind regulating family relationships?
- A. It is intended to interfere in the privacy of individuals.
 - B. It is aimed to avoid social problems and instability.
 - C. It is because family is the building block of society.
 - D. It is to protect the weak and ensure their dominance.
 - E. It is to continue the patriarchal way of society.
25. Which of the following is different from others?
- A. Income of the spouses
 - B. Succession or donations by one of the spouses
 - C. Income from personal property
 - D. Pension made during marriage
 - E. Property acquired during marriage by an onerous title

26. Under the Ethiopian Law of Successions, the unworthiness of a person to succeed is **NOT** related to _____
- A. intentional killing of the deceased.
 - B. intentional killing of an ascendant of the deceased.
 - C. his/her survival on the day of the death of the deceased.
 - D. intentional killing of a descendant of the deceased.
 - E. tampering with the decision of the deceased to revoke his/her will.
27. At what age does a person attain testamentary capacity under the Ethiopian Law of Successions?
- A. 14
 - B. 16
 - C. 18
 - D. 21
 - E. 23
28. Which one of the following is **NOT** true about public will?
- A. It shall be of no effect unless it is dated.
 - B. It shall be of no effect unless it is signed by the testator and the witnesses forthwith.
 - C. It shall be of no effect unless it is attended by four witnesses.
 - D. It can be valid notwithstanding that it is written by a third party.
 - E. It shall be of no effect unless it is read in the presence of the testator and witnesses.
29. The law of possession in good faith as embodied in the Civil Code of Ethiopia applies generally to _____
- A. a special movable.
 - B. an immovable.
 - C. a stolen thing.
 - D. any ordinary movable.
 - E. currency and securities to bearer.
30. The approach to the determination of compensation adopted in Ethiopia's current expropriation law with regard to property on land to be expropriated is
- A. replacement cost of the property anew.
 - B. prevailing market value of the property.
 - C. fair market value of the property.
 - D. current value of the property less depreciation.
 - E. adequate amount of compensation.

SECTION II: MATCHING ITEMS (10 MARKS)

MATCH THE ITEMS UNDER 'A' WITH THOSE UNDER 'B'

A

1. Judicial declaration of paternity
2. Opposition to marriage
3. Prohibitory impediment
4. Absolute impediment
5. Compulsory arbitration of spousal
6. Legal presumption of paternity
7. Adoption
8. Duty of fidelity
9. Irregular Union
10. Legal dissolution of marriage

B

- A. Period of widowhood
- B. *Pacta Sunt Servanda*
- C. Continuous sexual intercourse
- D. Disowning
- E. Personal effect
- F. Relation by consanguinity
- G. Public prosecutor
- H. The 1960 Civil Code
- I. Absence
- J. De facto relationship
- K. Common property
- L. Personal property
- M. Customary marriage

SECTION III: SHORT ANSWERS (10 MARKS)

ANSWER THE FOLLOWING QUESTIONS IN NOT MORE THAN 4 LINES.

- 3.1. What are the three alternative ways of contractual extinction of obligation? (3 MARKS)
- 3.2. What is the legal maxim that conveys a meaning that a person is bound by his own words? (3 MARKS)
- 3.3. Payment made to unqualified person would validly release the debtor from his obligation provided the debtor proves that he made payment in good faith to a person who appears without doubt to be the creditor. Who is this person? (4 MARKS)

SECTION IV: ESSAYS (20 MARKS)

WRITE SHORT ESSAYS FOR THE FOLLOWING QUESTIONS IN NOT MORE THAN 10 LINES.

- 4.1. 'The Ethiopian Law of Successions was promulgated some fifty years ago as part of the 1960 Civil Code of the Empire of Ethiopia. It is, therefore, only a small exaggeration to say that some of its provisions are virtually obsolete. As such, they require an arduous task of tweaking to make them relevant to the present socio-economic conditions and constitutional order.'
Do you agree with this assertion? Why/Why not? Give illustrations to support your position. (10 MARKS)
- 4.2. Discuss two rules of minority shareholder protection under the Commercial Code of Ethiopia. (10 MARKS)

SECTION V: HYPOTHETICAL CASES (30 MARKS)

READ THE FOLLOWING HYPOTHETICAL CASES VERY CAREFULLY AND ANSWER THE QUESTIONS THAT FOLLOW.

5.1. HYPOTHETICAL CASE I (15 MARKS)

After having examined the charge and the defense presented in the criminal proceeding, the Federal High Court convicted Ato Bedilu for the killing of Ato Yigermal and sentenced the former to 18 years imprisonment in 2008. Ato Bedilu had to serve 12 years of imprisonment to have been released on parole. Immediately after his release, Ato Yigermal - who had allegedly been murdered - reappeared. The Office of Federal Police confirmed the reappearance of the alleged victim of homicide. Due to the wrongful conviction and sentence, Ato Bedilu lost his liberty for 12 years, reputation, moral fortitude, job, property, family, and friends.

- 5.1.1. Knowing that you are the best lawyer, Ato Bedilu approaches you to seek legal advice for his loss. What would be your best legal advice? (8 MARKS)
- 5.1.2. Assume that Ato Bedilu has brought a civil action against judges who wrongfully convicted him. What would be the preliminary defense of the defendants? (7 MARKS)

5.2. HYPOTHETICAL CASE II (15 MARKS)

W/ro K has concluded a contract of lease with Ato L relating to her tract of farm land for a period of 2 years. The lease contract has been made in compliance with the requirements of the relevant laws. During the time of the lease, Ato L has entered into a contract orally with M Construction Company with the view to allowing the latter (the Company) to remove 3,000 cubic meters of topsoil from the leased plot without the permission of the lessor (W/ro K). The Company has removed the said quantity of topsoil from W/ro K's plot and piled it up for future consumption in one of its construction sites. An expert has estimated that the cost to level the excavated site is 20,000 Birr. W/ro K has filed a suit in a court of law.

- 5.2.1. In whose favor should the court decide the case? Why? (15 MARKS)